Getting Approval at BYU

Background for the conflict-of-interest management plan

A faculty member who co-founds a venture-funded company while remaining a full-time professor needs a defined set of university approvals. This document lays out that path: what happens in what order, who has authority to sign, what the university might gain, and what is still unsettled.

This is background, not the plan. The conflict-of-interest management plan is a separate six-page document, approved and signed on its own. BYU's Financial Disclosure Form asks whether "a proposed conflict of interest management plan is attached," and that plan is the attachment. Nothing in this briefing is submitted with it. The Financial Conflict of Interest in Research Policy has the faculty member develop that plan in consultation with the Research Administration Office for approval by the Associate Academic Vice President for Research ("the AAVP"). BYU publishes no plan template, so the plan is organized on the five headings that policy requires the university to be able to report, checked against the formats peer universities publish (Iowa, Colorado State, Nebraska).

Offices named here

Research Administration Office	negotiates and signs research agreements on the university's behalf; first reviewer of financial disclosures.
Technology Transfer Office	licenses BYU-owned inventions; reviews sponsored research and consulting agreements that touch intellectual property.
AAVP for Research	decides whether a disclosed interest is a conflict, approves every management plan, and makes the final decision on any transfer of BYU technology.
Regulatory Accounting	approves cost-recovery accounts and rates; one of three offices that must approve an employee acting as a vendor to BYU.

What BYU policy already settles

Two numbers decide most of this before anyone exercises judgment: the faculty member holds **more than ten percent** of the company, and the company has raised **more than $3 million**. Four consequences follow, and the plan accepts all of them rather than seeking exceptions.

1. **The faculty member stays out of every deal between BYU and the Company.** Above ten percent the company is a "Related Party" under the Conflict of Time or Interest Policy, and "negotiating, influencing, or attempting to influence the negotiations of contracts or agreements between the university and a third party" for its benefit is on that policy's *prohibited* list, the conflicts BYU says cannot be managed at all. Someone else negotiates and signs on each side.
2. **Advisory roles, not management roles.** A faculty member not on leave is "not to be line officers in outside companies" (Sponsored Projects Handbook), the same line Stanford draws: advisory roles yes, management roles and titles no.
3. **No voting board seat.** The Intellectual Property Policy allows a voting seat on the board of a company that licenses BYU technology only if the company "has not raised more than $3,000,000" and has no non-accredited investors, and even then only "on rare occasions" with prior written

approval from the dean, the AAVP, *and* the Technology Transfer Office. This company is past that ceiling. The policy says nothing about non-voting observer seats, which means such a seat is not authorized by default either; if one is wanted it has to be granted in writing.

4. **The inventor's royalty share is given up.** Under the same policy, "a principal equity owner is one who controls ten percent or more equity in the company," and where a developer becomes one, "the developer will forfeit his or her distribution." That is the personal 45 percent share of BYU's licensing income, and with it the option to steer that share, with university matching, into a research account. The policy sets out no way to apply for an exception. The faculty member's financial interest is the company stock alone.

The approval sequence

"Department approval" comes in layers rather than as a single event. The department controls the disclosure, the written authorization of the outside role, and the management plan; each later transaction adds university-level approvers. Two rules run through all of it: **disclose before acting**, and **every arrangement between BYU and the Company lives in a written agreement signed by the university**, never by the faculty member.

#	What happens	Who approves	When
1	Informal briefing of the department chair, with this document as the agenda	none	first
2	Outside-activity disclosure filed in Faculty Profile (the "Conflict of Interest and Conflict of Time" screen, Annual Review section)	filed, not approved	**before** the role begins; renewed annually
3	Written authorization of the outside role (operating a business; advisory service)	department chair (policy allows chair, dean, or supervisor)	before taking the role
4	The plan as the **outside-activity** conflict plan, written with the chair, who submits it to the dean	dean	together with step 3
5	Financial Disclosure Form, with the plan attached as the **research** conflict plan	chair, then the dean's office, then the Research Administration Office; **the AAVP approves**	before any research proposal involving the company; updates within 30 days
6	Conflict-of-interest training: BYU's online research-conduct course, required of all faculty involved in sponsored research	none	refreshed every four years, and immediately on joining research, on a policy change, or after a compliance finding
7	License or assignment of BYU technology	chair, dean, Technology Transfer Office, and General Counsel review; **the AAVP decides**	at deal time
8	Company-sponsored research agreement	Research Administration Office negotiates and signs; chair, dean, and the AAVP approve the proposal	when company money funds lab work
9	Company equipment placed in the lab	Research Administration Office signs a loan agreement or research-agreement term	before delivery
10	Lab sells instrument time at cost-recovery rates (Recharge Center Policy)	chair, then dean, then Regulatory Accounting (rates re-approved annually)	before billing outside users

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#	What happens	Who approves	When
11	The company sells anything to BYU	employee-vendor approval by Purchasing & Travel, Compensation, and Regulatory Accounting	before any BYU purchase

- **The standard the chair or dean applies is written down.** They "do not approve activities they believe would unduly limit a faculty member's availability to students or compromise… teaching, scholarship, or citizenship performance" (Conflict of Time or Interest Policy). The step-1 briefing should therefore lead with the time budget and the teaching plan, not the company.
- **Disclosure comes before the activity.** A plan approved early, while the stakes are small, is the dated record that answers scrutiny later if the company succeeds.
- **Steps 7 through 11 recur with each transaction**, and the faculty member is out of the negotiation every time.

Who is allowed to sign

Signature authority at BYU is set by what an agreement costs and how long it binds the university, not by what kind of agreement it is. A faculty member sits in the bottom row, which is why the equipment and research agreements in the plan are signed well above the lab.

Who signs	Up to	Can bind BYU for
President (or delegate)	no limit	no limit
President's Council member (or delegate)	$500,000	5 years
Associate or Assistant Vice President, or a Dean or Director reporting to a President's Council member	$250,000	3 years
Any other employee, acting within the scope of employment and with the supervisor's approval (**this is the faculty member**)	$100,000	1 year

- **A multi-year equipment placement is out of the lab's hands.** Anything past one year needs a dean or director at minimum, and past three years or $250,000 it goes to a President's Council member.
- **The agreement cannot be sliced to fit.** "A Transaction may not be divided between two or more Legal Documents to avoid authorization limits," and "a series of related Transactions with the same party for the same subject matter is considered a single Transaction." Five one-year renewals of the same placement is one five-year transaction.
- **Certain provisions pull in other offices regardless of size.** The Office of General Counsel must review anything that indemnifies another party, sets non-Utah governing law, limits BYU's liability, gives a third party access to non-public university data, or transfers a university ownership interest in a company. That last one applies the moment BYU takes Company stock. Risk Management must review any commitment to carry or show insurance, any indemnity, and any activity carrying a real risk of injury or loss. A department cannot buy its own coverage.

What the university might gain, and what each depends on

None of these is a commitment. Each depends on a separate agreement or approval that the plan does not grant, so each is paired below with the condition it rests on. A benefit is not a reason to approve a conflict.

Possible benefit	What it depends on
Research students get hands-on time on instruments the university would find hard to buy	A university-signed equipment agreement fixing ownership, insurance, maintenance, access, and removal. The Company can withdraw its equipment; nothing here is permanent.
Instrument time sold to outside users, and Company sponsorship, fund student wages, equipment, and student travel	A cost-recovery account approved by the chair, dean, and Regulatory Accounting, rates re-approved annually, and the tax treatment of outside sales settled before billing. Spending follows sponsor terms and university budget rules, not the lab's preferences.
New research funding through independently negotiated sponsored agreements	Each agreement negotiated and signed by the Research Administration Office with the faculty member recused. Any federal small-business subaward that comes later is federal money and carries federal rules.
Industry experience for students: internships, applied problems, jobs	Participation stays voluntary, is reviewed by an independent advocate, and is protected from retaliation.
Student work stays publishable, because the Company's model is open source	BYU's invention-disclosure review still runs before any public release and can add a bounded delay for a patent filing. Export controls, third-party rights, and any confidential information a sponsor supplies apply regardless of the open-source default.

Company formation documents, and the line they must respect

Standard startup formation packages have founders buy their shares partly with intellectual property, and have everyone who works for the company assign inventions made *before* as well as after incorporation. Stripe Atlas, the most common of them, says both in its own document list: "Atlas founders pay for their shares with the intellectual property (IP) they have developed on behalf of the company," and its invention-assignment form reaches "relevant IP created both before and after incorporation."

A contribution like that is only as good as the founder's title to it, and BYU's claim attaches automatically: employees "agree to assign and do hereby assign all right, title, and interest in any Intellectual Property, including future Intellectual Property," reaching work "related to the current or demonstrably anticipated business, research, or development of the university" (Intellectual Property Policy). So:

- Anything within that description was the university's before the Company existed. It reaches the Company only through a license negotiated without the faculty member, never by founder assignment.
- **Founder shares are paid for in cash, and nothing is listed as contributed.** The cash is already in the standard package. Atlas founders "purchase their shares with a combination of money and IP" (Stripe's own guide to founder equity), and the money side is "cash equal to the purchase price of the shares," which is what "ensures that the shares are fully paid" (the annotated legal guide Stripe publishes with it). At $0.00001 a share that is a trivial sum, and it means the assignment bundled into the purchase is not what the shares rest on: contributing nothing still leaves them fully paid. Contributing intellectual property instead would require valuing the very thing whose ownership is in question.
- What the faculty member may contribute is limited to work created outside university employment: no BYU funding, facilities, equipment, systems, personnel, or work time, and never disclosed to or licensed from the university.
- That boundary is settled through BYU's own release procedure before any formation or invention-assignment document is signed, not asserted afterward. The invention disclosure form sets it out:

an invention "not within the field of employment" that "did not employ BYU resources" is not disclosed on the form; instead "a brief, non-confidential description of the Invention should be submitted to the Technology Transfer Office with a copy to the employee's chairman or director to request release of the Invention to the employee." "Demonstrably anticipated" can otherwise reach personal-time work in the lab's own field, and the university's view of that line is the one that governs.

Stripe flags the mismatch itself ("if you have any prior inventions you'd like to exclude from being assigned to the company, Atlas might not be right for you"), but it also supplies the fix, and taking it does not mean leaving the service: "you can work with them to edit the documents you receive from Stripe Atlas." The automated stock tool is only one of two routes, the other being the annotated templates issued on the same dashboard for counsel to edit. Incorporation itself is unaffected either way.

Note which document does the work. Paying cash and contributing nothing settles the stock purchase. The invention-assignment agreement is signed separately and is the one that has to be amended, because the schedule of excluded inventions is not where it binds: it reaches forward to every invention the faculty member makes at BYU after incorporation, all of it the university's, and it carries a representation that signing "does not and will not breach any agreement or duty which the employee has with anyone else." Leaving that schedule blank leaves both of those untouched. Clause 6.3 of the plan, under which work done in the lab by a non-employee under faculty supervision can give BYU a perpetual royalty-free license in the result, survives either way.

What happens if the plan is not followed

Two consequences fall on the university rather than on the faculty member, and both are worth knowing before approval.

- Before any U.S. Public Health Service money (the National Institutes of Health, for example) is spent on research, BYU must be able to answer public requests about disclosed financial interests within five business days.
- Where a financial conflict goes undisclosed, unreviewed, or unmanaged, or where an approved plan is not followed, the Financial Conflict of Interest in Research Policy calls for a retrospective review within 120 days of the finding, by a panel of the AAVP, the Research Administration Office director, the department chair, and the associate dean.

Open items

- The AAVP's office may keep its own preferred plan format. BYU publishes none, so the plan is written to be reshaped into one.
- **For the Technology Transfer Office:** how a forfeited developer share is handled when a technology has more than one inventor, and whether an Income Distribution Agreement is still circulated once the share is forfeited.
- **For the dean and the AAVP:** whether a non-voting board observer seat is available at all, given that policy addresses only voting seats.
- **For Regulatory Accounting:** the published Recharge Center Policy sits outside the university policy library entirely (a search of all 195 policies returns nothing for recharge, service center, external rate, or unrelated business income) and still names a director "currently (June 2005)." Confirm the current version and contact before submitting a rate proposal.

- **For Faculty Relations:** the supplemental-compensation cap of one day a week and the outside-activity cap of four days a month govern different things but consume the same time. Whether they stack is unresolved here rather than guessed at.
- **For the Research Administration Office:** "Appendix A, COI Management Plan Approval and Appeal Process" is referenced by the Financial Conflict of Interest in Research Policy but is not published.
- **For each transaction as it arises:** the signature authority for that specific agreement. Public policy establishes the license chain and who signs research agreements, but not every routing step in advance.
- Some cited rules (the campus-office approval, the information-technology commercial-use rule, student employment caps, and the employee-vendor workflow) live in policies behind university sign-in at policy.byu.edu; their wording here follows an authenticated review of the full policy library in July and August 2026.

Compiled 26 August 2026. Documents of record: `latex/byu-coi-briefing.tex` and `latex/byu-coi-plan.tex` in vertical-cloud-lab/byu-vcl. Edit the LaTeX source and recompile with `pdflatex` (three times).